Letter

Letter: Inflation makes the global local and the transitory persistent

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Andy Haldane, the former chief economist at the Bank of England, may claim to love inflation targets (Opinion, March 4) but, as lovers go, he is fickle at best.

The idea that "global" inflationary pressures caused by supply-side shocks can be kept separate from "local" inflationary pressures, thereby justifying "suspending inflation targets for a temporary period", may seem fine in theory but is unlikely to work.

Sadly, "global" can all too easily become "local", in much the same way that "transitory" can become "persistent". Those central banks who choose not to act — or act too slowly — are more likely to discover that inflation is no longer "tethered to target" over the medium term.

Think, for example, of the varying inflationary experiences of the 1970s: common global shocks, perhaps, but the policy responses and, thus, inflationary outcomes differed hugely.

As for the differences between the "golden era" of globalisation and where we find ourselves today, Haldane should explain why central banks ought to tolerate the domestic consequences of globalised inflation now when they did their level best to prevent the domestic consequences of globalised deflation in earlier years.

Back then, overly loose monetary policies helped trigger a series of asset price bubbles, all too often followed by busts. Such asymmetries suggest a bias towards inflationary and financial excess that policymakers should ideally seek to avoid. Fighting inflation can be painful. Tolerating inflation is, in the short term, much easier. Yet suspending inflation targeting while offering no alternative nominal framework smacks of extending tolerance too far. History suggests that such an accommodating process is likely to end in tears.

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